

Q1 FY26 Results Mixed -- Services Strength Offset by China Weakness

AAPL | Apple Inc. | Technology

Analyst: James Rodriguez

Type: Earnings Review

Rating: Neutral (Maintain)

Conviction: Medium

Price Target: \$245

Apple reported Q1 FY26 revenue of \$128.2B, roughly in line with consensus of \$127.8B. Services revenue hit a record \$26.3B (+14% YoY), while iPhone revenue of \$71.4B declined 2% YoY, dragged by continued weakness in Greater China (-11% YoY).

Key Positives:

Services continues to be the margin expansion story. The installed base of active devices exceeded 2.4 billion, and services attach rates are improving across all geographies. Apple Intelligence features are driving incremental iCloud+ and Apple One subscriptions.

Key Concerns:

China remains problematic. Huawei's Mate 70 series with the Kirin 9100 chip has taken meaningful share in the premium segment. Management acknowledged 'competitive dynamics' but offered limited visibility on recovery timeline.

iPhone 17 cycle expectations are building, with early supply chain checks suggesting strong component orders. However, the market appears to have largely priced in a positive cycle, limiting near-term upside.

Our quant composite score ranks AAPL at #87, largely held back by a below-average momentum score (-0.4) and elevated valuation metrics. Quality score remains strong at +1.8.

Maintaining Neutral. The risk/reward is balanced at current levels. We would become more constructive on a pullback toward \$220 or evidence of China stabilization.

This document is for internal use only. Quantitative Research & Investing (QRI). Not for external distribution.